MODEL README

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Programs

- `run.m` — solves the terminal steady state and the transition from 1965 onto it, once at the recovered wedges and once with a wedge frozen, then prints the counterfactual. Section 1, Steps 1 and 2.
- `variables.m` — names the two regions and three sectors and fixes their index positions.
- `parameters.m` — the parameters not recovered from the data, and the solver tolerances.
- `loaddata.m` — reads wedges from processed panels, 1965 to 2014.
- `padyears.m` — extends the sample to the steady state year
- `baseline.m` —Baseline levels from value added data, consumption expenditure, and the final demand shares of Section 3.
- `wedges.m` — Returns wedge data or create new frozen wedge path
- `static.m` — Given a guess in wage, static solves equilibrium conditions for a given year
- `steadystate.m` — the terminal steady state, by two nested loops over capital and wages. Section 2.
- `dynamic.m` — the equilibrium transition. Guesses capital and consumption expenditure, clears each period with `static.m`,
- `makefigures.m` — the figures, from `results/solution.mat`.
- `checknote.m` — re-solves the path and checks it against all 26 conditions in `EQconditions.tex`.

Other files

- `EQconditions.tex` — the model. Section 1 is the transition algorithm, Section 2 the steady state, Section 3 the equilibrium conditions.
- `results/solution.mat` — everything `run.m` solved, rewritten on each run.